

Incidentally, it is the same Dutta who gave the opinion to CBI in June 2005 that Quattrocchi could not be declared a proclaimed offender on a query from London's Crown Prosecution Service. Then at the behest of the law minister, Dutta had personally flown to London in December 2005 to ask the Crown Prosecution Service to defreeze Quattrocchi's accounts saying that "no useful purpose would be served by maintaining the restraint order".

The accounts were unfrozen on January 13, 2006, and within three days, the Italian had cleaned out the Rs 21 crore lodged in them. The CBI was taken by surprise as its officers were still pushing diplomatic channels to uncover the money trail from Lugano, Switzerland, to the money frozen in his London bank accounts.

**T**he Congress had come under heavy fire then and its stand that the Government had nothing to do with the decision and that the CBI was an independent agency was unconvincing. It is history repeating itself this time. Bhardwaj has admitted that he was aware of the matter and that he went by the opinion of the attorney general, who wrote that "the CBI is under an obligation to have the matters set right at the Interpol level as there is no basis on which the RCN can continue... Immediate action should be taken to withdraw the Red Corner Notice. The purpose of a warrant of arrest is to secure presence of the accused. But two attempts have failed. The warrant cannot remain in force forever."

That may have some merit but the timing could not be more disastrous and raises the question of whether anyone in government could be so short-sighted to have initiated the save-Quattrocchi campaign now. One explanation is that the move was started in October and the presumption could have been that it would only come to light after the election. Like much of the long-running Bofors saga, it was the media, in this case *The Indian Express*, which exposed

## The Players

They made the headlines as the scandal exploded



### Rajiv Gandhi

Then prime minister who was accused of bribery. Exonerated in 2004.



### Hinduja brothers

London-based businessmen probed for their role in kickbacks and money transactions. Let off in 2005.



### Win Chadha

Agent for Swedish arms maker A.B. Bofors. Charged in 1999. Died in October 2001.



### V.P. Singh

Then defence minister, quit after ordering a probe. Pursued the case on becoming PM.



### S.K. Bhatnagar

Then defence secretary accused of accepting bribes from A.B. Bofors. Later acquitted.

the story. The other explanation is that there are those more loyal than the Queen—Bhardwaj and Banerjee have done this before—who did it on their own, believing they were doing their leader a favour.

However, the opposite has happened. This is not the first time the Congress-led UPA Government has helped Quattrocchi. When the CBI wanted to file a Special Leave Petition in the Supreme Court in September 2005 to challenge the high court's quashing of case against the Hinduja, the Law Ministry stepped in, saying that there was no need for it. The Delhi High Court quashed the bribery charges against Rajiv Gandhi in February 2004. After five months, with the UPA in power, Banerjee said there was no need to appeal in the Supreme Court. Also, when Argentina refused to extradite Quattrocchi in 2007, the Government forced the CBI to withdraw its appeal on the order. He had been arrested in Argentina in February 2007 on the basis of the Red Corner Notice.

Subsequently, the CBI had been accused of making only half-hearted attempts to get him to stand trial in India. In June 2007, an Argentinian court turned down the extradition request with the remark that "India did not even present proper legal documents" and Delhi was also asked to pay Quattrocchi's legal expenses. The ultimate irony is that the payoff was Rs 64 crore and it has cost the Indian exchequer Rs 250 crore to investigate the scandal.

The key issue now is whether it will impact the election outcome. Votes have been cast for approximately half the seats prior to the latest controversy and no one is quite sure how a case that is two decades old will play out in the remaining two phases. Rajiv lost the election when the issue was still fresh and Rs 64 crore was a lot of money. Much depends on how effectively the damage control is done and how well the BJP is able to exploit the issue. In an election as fractious and personal as this one, Bofors may not prove as lethal as the actual weapon. ■